

CHALLENGES A PLenty

Having grown on the back of their merger, L&T Infotech's engineering prowess and Mindtree's customer experience make for a formidable combination. But LTIMindtree, the merged entity, still has room to grow

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MORE THAN A year after the merger of L&T Infotech and Mindtree created a formidable player in the highly competitive Indian IT space, LTIMindtree—the combined entity—has emerged as the fifth-largest IT services firm in In-

dia by market capitalisation in the BT500 study this year. Overall, it has secured the 38th position in the BT500 list. But despite breaking into the top rungs, the company has big plans to grow larger. Debashis Chatterjee, the company's CEO and MD, says LTIMindtree (LTIM) plans to become a \$10-billion enterprise over a period of time. "When we came together as LTIMindtree, we had to set certain goals... where we laid out an aspiration to become a \$10-billion enterprise over a period of time," he said at the Q2FY24 earnings call with analysts.

But although LTIM is now one of the largest IT services companies in the country, to realise its true potential, it must contend with external challenges, such as the slowdown in most international markets, along with internal fac-

tors like the big-ticket exits the company has witnessed in recent times, and its client concentration in the BFSI sector. But Chatterjee is confident about the company's ability to execute its growth plans. "We [had] also set two other goals. One is synergy in revenues, as well as improvement of margin over a period of time. We also said the revenue synergy should be more front-ended as we go over the next three to four years. And the synergies in terms of margin, which we called out as 200 basis points, will be more back-ended," he said during the earnings call.

And the results are already visible. Post its merger—completed in November 2022—LTIM has outperformed its large-cap peers in terms of revenue growth on a yearly basis, with total income growing